

Café Financial Analysis & Profitability Review

Sample analysis using fictional data only

PORTFOLIO SAMPLE

This document demonstrates an analysis approach. It does not describe a real client, café, or engagement.

1. Executive summary

The illustrative café generated steady sales growth, but profitability remains constrained by labour, food costs, and recurring operating expenses. The clearest opportunity is to improve margin without relying solely on higher customer volume.

12-month sales	Gross margin	Labour %	Operating result
\$1,002,300	69.6%	34.8%	\$110,946

Key findings

- Sales increased 27.6% from the first to the final month, with average ticket rising as revenue outpaced transaction growth.
- Gross margin is 69.6%. A two percentage-point improvement would add about \$1,670 of monthly gross profit at the current sales level.
- Labour is 34.8% of sales. Overtime and roster alignment should be reviewed before making broad staffing reductions.
- Latest monthly break-even sales are approximately \$70,385, leaving a 25.0% margin of safety.
- The sample action plan identifies about \$5,250 of potential monthly improvement, subject to validation with actual POS, recipe, payroll, and supplier data.

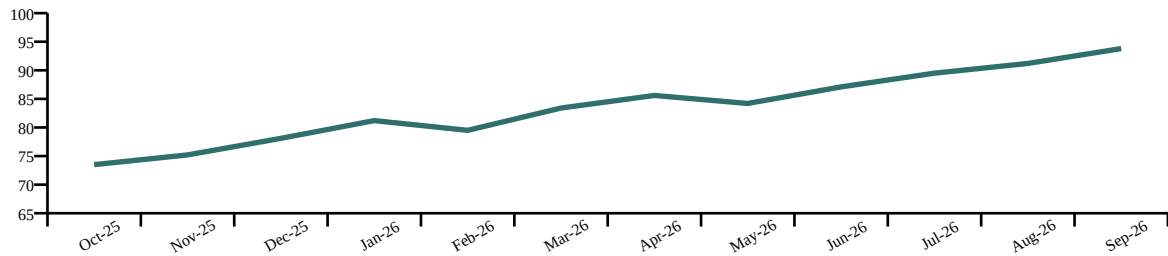
Management focus

Start with menu pricing and recipe costs, then align roster hours to demand and test supplier terms. These actions address the largest controllable cost pools while protecting service quality.

Revenue, COGS & Gross Margin

What is changing, and is growth converting into gross profit?

2. Revenue analysis



Monthly sales (\$000)

Metric	First month	Latest month	Change
Sales	\$73,500	\$93,800	27.6%
Transactions	6,125	7,160	16.9%
Average ticket	\$12.00	\$13.10	9.2%

3. COGS and gross margin

Gross Profit = Sales - Cost of Goods Sold Gross Margin % = Gross Profit / Sales

Metric	12-month result	Management use
Sales	\$1,002,300	Revenue base
Beverage COGS	\$160,218	Compare supplier and recipe cost
Food COGS	\$124,339	Review portion and waste variance
Packaging	\$20,046	Test format and purchasing terms
Gross profit	\$697,697	Gross margin 69.6%

Illustrative interpretation

Sales growth is positive, but ingredient costs must be monitored against recipe standards and supplier price changes. The next review should reconcile theoretical recipe usage to purchases and stocktake results. This separates supplier inflation from waste, portion variance, and inventory recording issues.

Labour, Menu, Break-even & Expenses

Where can the café improve profit while preserving service quality?

4. Labour analysis

Metric	12-month result	Latest month
Total labour	\$348,387	\$30,324
Labour %	34.8%	32.3%
Sales per labour hour	\$40.75	\$43.83
Overtime	\$25,300	\$1,700

The objective is to align staffing to demand, not to reduce service capacity indiscriminately. Review sales and labour hours by daypart, then adjust start times, breaks, and overtime triggers.

5. Menu profitability

Item	Price	Contribution / item	Contribution %	Monthly contribution
Flat White	\$5.50	\$4.10	74.5%	\$9,225
Long Black	\$4.80	\$3.78	78.8%	\$5,368
Egg & Bacon Roll	\$13.00	\$8.13	62.5%	\$5,041
Avocado Toast	\$15.50	\$9.50	61.3%	\$4,560
Iced Latte	\$6.50	\$4.54	69.8%	\$4,131
Chicken Sandwich	\$14.50	\$8.40	57.9%	\$3,444

Use popularity and contribution together. Protect high-volume, high-contribution items; reprice or redesign popular items with weak contribution; simplify low-volume, low-contribution items.

6. Break-even and operating expenses

Measure	Latest month
Contribution margin %	67.0%
Fixed cost base	\$47,139
Break-even sales	\$70,385
Actual sales	\$93,800
Margin of safety	25.0%

Operating expenses total \$238,364 for the 12-month sample. Review merchant fees, delivery commissions, subscriptions, utilities, repairs, and marketing against sales and usage. Separate true fixed costs from costs that change with transactions or delivery mix.

Cash Flow, Supplier Review & Action Plan

Convert the financial review into a practical management sequence.

7. Cash flow and supplier review

The illustrative cash balance moves from \$36,500 to \$130,450. Profit and cash differ because receipts and supplier, payroll, tax, and operating payments occur at different times.

- Map weekly supplier and payroll payment dates against expected receipts.
- Review top suppliers by annual spend, unit-price change, delivery frequency, minimum order, and payment terms.
- Use stocktake variance and days-on-hand to identify excess purchasing or waste.
- Maintain a rolling 13-week cash forecast once actual bank and payable data are available.

8. Prioritized action plan

Priority	Action	Indicative impact / month	Timing
1	Reprice or redesign low-margin food items	\$1,600	0-30 days
2	Reduce overtime and rebalance roster	\$1,250	0-30 days
3	Renegotiate key ingredient suppliers	\$900	30-60 days
4	Tighten ordering and waste controls	\$650	30-60 days
5	Review subscriptions and merchant fees	\$350	0-30 days
6	Promote high-contribution beverage bundles	\$500	30-60 days

Potential combined benefit: approximately \$5,250 per month before implementation costs, demand effects, tax, and interaction between actions. Validate each estimate using actual data before adopting it as a target.

9. Deliverables

Owner-friendly report	Supporting financial model
- Executive summary - Revenue and margin findings - Labour and expense review - Break-even and cash observations - Prioritized recommendations	- Reconciled monthly schedules - Menu contribution analysis - Editable assumptions and formulas - Dashboard and action tracker - Clear links to source data

Data required for a live engagement

12 months of POS and P&L; data, payroll and rosters, supplier invoices and pricing, menu and recipe costs, inventory / stocktakes, and cash / payable timing. Final conclusions would be limited to the completeness and consistency of the data provided.